

NMB Bank Limited

Annual Report — Fiscal Year 2021/22 (FY2022)

Registered Office: Babarmahal, Kathmandu, Nepal | Company Registration No.: 25478/064/065 | Listed on: Nepal Stock Exchange (NEPSE) — Symbol: NMB

Synthetic document for the ICAN GenAI workshop. All figures and names are fictional.

Chairperson's Statement

Fiscal year 2021/22 was a year of recovery and consolidation for NMB Bank. As the economy rebounded from the COVID-19 disruptions, the Bank registered net profit growth of 11.4 percent, with total assets crossing NPR 270 billion for the first time. The Bank opened 9 new branches during the year and completed the integration of its earlier acquisition of Kanchan Development Bank.

— Ram Bahadur Khatri, Chairperson

Board of Directors (As at Ashadh 31, 2079 / 16 July 2022)

Name	Designation	Appointed
Ram Bahadur Khatri	Chairperson	2018
Sunita Sharma	Director (Independent)	2020
Pradeep K. Joshi	Director	2019
Kamal Adhikari	Director (Independent)	2018
Sushil Bhatta	Chief Executive Officer	2017
Manish Timalcina	Chief Financial Officer	2019

Financial Highlights — FY2022 (NPR in Millions)

Metric	FY2022	FY2021	Change %
Total Assets	274,310	248,140	+10.55%
Total Deposits	230,180	208,940	+10.17%
Loans and Advances	197,420	176,260	+12.01%
Total Equity	29,640	27,180	+9.05%
Net Interest Income	10,440	9,310	+12.14%
Operating Income	14,920	13,420	+11.18%
Net Profit	3,810	3,420	+11.40%
Capital Adequacy Ratio (CAR)	12.85%	13.05%	-20 bps
Non-Performing Loans (NPL)	2.18%	1.94%	+24 bps
Return on Equity (ROE)	13.10%	12.84%	+26 bps
Earnings Per Share (NPR)	22.15	21.06	+5.18%

Management Discussion and Analysis (MD&A;)

Operating Environment

FY2021/22 was characterised by the gradual normalisation of economic activity post-pandemic, combined with rising inflation driven by global commodity prices. Nepal Rastra Bank raised the policy rate from 5.0 percent to 7.0 percent during the year, compressing margins across the banking system.

Deposit and Lending Growth

The Bank achieved deposit growth of 10.2 percent and credit growth of 12.0 percent. Lending to the hydropower sector grew by 18 percent as several large infrastructure projects reached financial closure. The loans-to-deposits ratio increased to 85.8 percent at year end.

Asset Quality

NPL ratio rose to 2.18 percent (FY2021: 1.94 percent) reflecting stress in tourism and aviation portfolios. The Bank made additional provisions of NPR 285 million during the year.

Subsidiaries and Associates

Subsidiary / Associate	Ownership %	Principal Activity
NMB Capital Limited	51.0%	Merchant banking, IPO advisory
NMB Microfinance Bittiya Sanstha	55.0%	Microfinance services
NMB Insurance Brokers Pvt. Ltd.	100.0%	Insurance brokerage

Risk Management — Key Risk Factors

Principal risks during FY2022 included credit concentration in the tourism sector (subsequently moderated), liquidity risk from tighter NRB monetary policy, and operational risk from the ongoing core banking transition. The Bank's risk appetite was reviewed by the Risk Management Committee in Poush 2078.

Independent Auditor's Report

We have audited the financial statements of NMB Bank Limited for the year ended Ashadh 31, 2079 (16 July 2022). The financial statements give a true and fair view in accordance with NFRS.

Audited by: **Deloitte Haskins & Sells**, Chartered Accountants. Audit partner: CA Rajesh Pradhan. Audit report dated: Kartik 18, 2079.

Dividend and Capital Distribution

The Board recommended a cash dividend of 9.5 percent and a bonus share issue of 5.0 percent for FY2022, representing 56.4 percent of net profit.